

THE SESSION · POST-CLOSE READ

Oil Firms, Chips Give Ground

Brent rose toward \$106 after President Trump rejected Iran's proposal to reopen the Strait of Hormuz, the 10-year Treasury yield climbed to about 5.21%, and chipmakers led the S&P 500 lower. Dividend Strategy -0.85% trailed DVY and SPY; Growth Portfolio -1.85% trailed IUSG.

S&P 500 ▼ 0.76%

NASDAQ ▼ 0.92%

DOW ▼ 0.67%

VIX 16.1

BRENT ▲ \$106

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-0.85%

1-DAY

FCI		-0.85%
DVY		-0.70%
SPY		-0.75%

YTD +16.84% vs DVY +11.48% · SPY +13.14%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-1.85%

1-DAY

FCI		-1.85%
IUSG		-0.76%

YTD +21.53% vs IUSG +15.74%

THE SESSION

The weekend's diplomacy did not reopen the Strait of Hormuz, and Monday's session carried that through oil, yields and the more richly valued corners of the market.

The S&P 500 fell 0.76%, or 59 points, to 7,685; the Nasdaq declined 0.92% to 26,820 and the Dow 0.67%, or 347 points, to 51,482. President Trump rejected an Iranian proposal under which Iran's foreign minister offered to reopen the strait within seven days, saying its terms were not acceptable. Brent rose about 1.5% to near \$106 a barrel. Higher oil fed the inflation concern already present in the bond market: the 10-year Treasury yield rose about five basis points to near 5.21%, and futures pricing put the odds of a quarter-point Fed hike in October near 70%. Gold fell about 3% to below \$4,200 an ounce as yields and the dollar firmed. Semiconductors led the decline, with the iShares Semiconductor ETF down 2.08%. Software came under separate pressure after Meta announced an enterprise platform and hired

MongoDB's chief executive to lead it. The VIX rose 8% to 16.1. Wednesday's August PCE report and Friday's September payrolls now carry the rate question into the rest of the week.

The Dividend Strategy declined 0.85%, behind DVY's 0.70% decline by 0.15 point and SPY's 0.75% by about a tenth of a point, with seven of twenty-five holdings higher. Qualcomm accounted for more than the gap on its own, subtracting about 0.38 point: the shares fell 7.17% to \$187.48, more than reversing Friday's advance, amid reports that talks with Samsung over 2-nanometer foundry work remain unresolved on pricing and yields. S&P Global declined 1.83%, TE Connectivity 1.76% and Steel Dynamics 1.40%. The utility and staples holdings eased modestly: NextEra -0.78% and Church & Dwight -0.75%. Stryker led the gainers at +1.08%, with Old Republic +0.74%, Quest Diagnostics +0.55%, Colgate-Palmolive +0.53% and Analog Devices +0.46%.

Oil and yields set the terms again today. Higher rates change what the market will pay for future earnings; they do not change the earning power of the businesses we own.

The Growth Portfolio declined 1.85% against IUSG's 0.76% decline, trailing by 1.09 points, with six of twenty-five holdings higher. Gold, AI-infrastructure chips, software and the lending holdings accounted for most of the shortfall. Agnico Eagle fell 5.31% to \$184.15 as gold declined. The AI-infrastructure chip holdings retreated: Credo fell 8.67% to \$192.67, ending a nine-session advance, with Marvell -3.83% and AMD -3.61%, while NVIDIA (+1.68%) and TSM (+0.50%) rose. ServiceNow declined 3.07% on the Meta announcement, and the lend-

ing and brokerage holdings eased as yields rose: SoFi -3.92%, Pagaya -3.52%, Robinhood -2.46% and Synchrony -1.95%. Hut 8 (-4.24%) and MARA (-3.51%) declined with bitcoin as IBIT slipped 0.76% and ETHA 0.79%. CNX fell 3.32% even as Chevron gained 0.94% with crude. On the year, the Dividend Strategy stands at +16.84% against DVY's +11.48%, a +5.36-point spread, with SPY at +13.14%; the Growth Portfolio stands at +21.53% against IUSG's +15.74%, a +5.79-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

NVDA +1.68% GROWTH
Rose to \$228.86 against a 2.08% decline in the semiconductor ETF after expanding its buyback.

ATAT +1.68% GROWTH
Rose to \$32.77, adding to Friday's close of \$32.23; no company-specific news identified.

DECLINERS

CRDO -8.67% GROWTH
Ended a nine-session advance at \$192.67 amid reported insider share sales and a broader pullback in AI-infrastructure chip stocks.

QCOM -7.17% DIVIDEND
Closed at \$187.48, more than reversing Friday's gain, amid reports that 2-nanometer foundry talks with Samsung remain unresolved.

FTNT +1.65% GROWTH
Closed at \$176.33, recovering more than half of Friday's 2.92% decline; no company-specific news identified.

SYK +1.08% DIVIDEND
Led the Dividend Strategy, closing at \$275.31; no company-specific news identified.

AEM -5.31% GROWTH
Fell to \$184.15 as gold declined about 3% on rising Treasury yields and firmer expectations for an October Fed hike.

HUT -4.24% GROWTH
Declined with bitcoin; no company-specific news identified.

HOLDINGS NEWS

NVIDIA adds \$150 billion to its buyback. NVIDIA announced Monday a \$150 billion increase to its share repurchase authorization, leaving \$235 billion available, which the company expects to use

through fiscal 2028. Chief executive Jensen Huang tied the decision to the shift toward AI and accelerated computing. The shares rose 1.68%.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+16.84%

vs DVY +11.48% / SPY +13.14%

Spread vs DVY +5.36 pts

GROWTH PORTFOLIO

+21.53%

vs IUSG +15.74%

Spread vs IUSG +5.79 pts